CHAPTER 2

CONTEMPORARY CENTRES OF POWER

CHAPTER ESSENCE AT A GLANCE:
Investigate alternative regional poles of power that balance unipolar global dominance, focusing on the evolution and institutional architecture of the European Union, the cooperative consensus of ASEAN, the rapid economic resurgence of China, and evolving Sino-Indian bilateral dynamics.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **European Integration Process:** Progressed from the Marshall Plan (1948) and the Treaty of Rome (1957) to the 1992 Maastricht Treaty, establishing a single economic market, common foreign and security coordination, and the Euro currency.

• **The ASEAN Model of Regionalism:** Founded via the 1967 Bangkok Declaration, ASEAN operates on the 'ASEAN Way' characterized by informal, consensual, non-confrontational diplomacy, anchored by its Security, Economic, and Socio-Cultural Communities.

• **China's Economic Transformation:** Shifted away from Soviet-style isolation through the 1978 Open Door Policy under Deng Xiaoping, implementing phased privatization of agriculture (1982) and industry (1998), establishment of Special Economic Zones, and WTO accession in 2001.

• **Sino-Indian Strategic Ambivalence:** Grounded historically in the Panchsheel Agreement (1954), fractured by the 1962 border war and Tibet dispute, but progressively stabilized through confidence-building measures and expanding bilateral trade.

ESSENTIAL CONSTITUTIONAL ARTICLES & THEORIES

$$\text{European Union Evolution} \iff \text{OEEC (1948)} \longrightarrow \text{Treaty of Rome (1957)} \longrightarrow \text{Maastricht Treaty (1992)}$$

Milestones in Western European Supranational Integration

$$\text{ASEAN Core Architecture} \iff \{\text{Security Community}, \quad \text{Economic Community}, \quad \text{Socio-Cultural Community}\}$$

Three Functional Pillars of the ASEAN Community (2003)

$$\text{Chinese Modernisation (1978)} \iff \text{Open Door Policy} + \text{Special Economic Zones} + \text{Agriculture Privatization (1982)}$$

Four Modernisations and Market Socialism Transition

$$\text{Sino-Indian Framework} \iff \text{Panchsheel (1954)} \longleftrightarrow \text{Border CBMs} \longleftrightarrow \text{Bilateral Trade Volume}$$

Mechanisms Governing Contemporary Sino-Indian Relations

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Do not state that the European Union possesses a common constitution; its proposed constitution failed ratification in 2005 by France and the Netherlands.

• **Alert:** Remember that the 'ASEAN Way' refers specifically to a diplomatic method (informal, non-confrontational, consensual), not a formal military alliance.

• **Alert:** Avoid writing that China implemented Shock Therapy; China privatized its economy in gradual phases, starting with agriculture, then industry, and finally opening up foreign investment.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Name the treaty that led to the establishment of the European Union and state the year it came into force. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Treaty Name:** The Treaty of Maastricht (Treaty on European Union). **[1 Mark]**

• **Year of Enforcement:** Signed in 1992 and came into formal force on 1 November 1993. **[1 Mark]**

2. What is meant by the 'ASEAN Way' in contemporary regional diplomacy? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Informal and Consensual Approach:** A distinct form of interaction among Southeast Asian nations that emphasizes informal dialogue, consensus building, and quiet diplomacy. **[1 Mark]**

• **Sovereignty and Non-Interference:** A commitment to respect each nation's sovereignty with absolute non-confrontation and non-interference in domestic affairs. **[1 Mark]**

3. Describe the three pillars of the ASEAN Community established in 2003. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **ASEAN Security Community:** Aims to prevent territorial disputes from escalating into armed conflict, ensuring members live in peace without resort to force. **[1 Mark]**

• **ASEAN Economic Community:** Creates a common market and production base through tariff reduction, promoting economic growth and regional commercial integration. **[1 Mark]**

• **ASEAN Socio-Cultural Community:** Enhances social welfare, cultural cooperation, educational exchange, and environmental protection across member nations. **[1 Mark]**

4. Explain the major economic reforms introduced by China under Deng Xiaoping beginning in 1978. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Open Door Policy:** Introduced in December 1978 to integrate China into the global economy, inviting foreign capital, technology, and export investments. **[1 Mark]**

• **Gradual Phased Privatization:** Agriculture was privatized first in 1982, boosting rural incomes and productivity, followed by the privatization of industrial enterprises in 1998. **[1 Mark]**

• **Special Economic Zones (SEZs):** Designed areas with zero trade restrictions and tax incentives created to attract multinational corporations and foreign direct investment. **[1 Mark]**

5. Analyze four distinct factors that make the European Union an influential supranational organization in global affairs. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Economic Weight:** Operates the world's largest single market with a massive combined GDP; its currency, the Euro, poses a potent alternative to the US dollar. **[1 Mark]**

• **Trade Prominence:** Possesses a larger share of world trade than the United States, giving it leverage in multilateral negotiations in the WTO. **[1 Mark]**

• **Diplomatic and Political Influence:** Two member states were permanent members of the UN Security Council historically (France continues), exercising significant diplomatic power. **[1 Mark]**

• **Military Capacity:** The combined armed forces of EU nations rank second only to the United States, possessing advanced space defense systems and nuclear deterrence (France). **[1 Mark]**

6. Discuss the major areas of cooperation and conflict in contemporary Sino-Indian bilateral relations. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Historical Conflict Points:** The 1962 border war along Aksai Chin and Arunachal Pradesh, and political friction over China's occupation of Tibet and asylum granted to the Dalai Lama in 1959. **[1 Mark]**

• **Confidence Building and Stabilization:** Rajiv Gandhi's landmark visit in 1988 initiated talks that led to the 1993 and 1996 border peace agreements, maintaining stability along the Line of Actual Control. **[1 Mark]**

• **Booming Commercial Ties:** Bilateral trade expanded exponentially, making China one of India's largest trading partners in electronic goods, active ingredients, and machinery. **[1 Mark]**

• **Strategic Concerns:** India remains cautious of China's infrastructure projects near borders, trade deficits, and regional corridors, while collaborating in BRICS and the WTO on climate and trade equity. **[1 Mark]**

7. Name the five founding nations of ASEAN and the declaration signed by them in 1967. **[Score: 2 Marks]**

Answer & Key Valuation Steps:

• **Founding Nations:** Indonesia, Malaysia, the Philippines, Singapore, and Thailand. **[1 Mark]**

• **Historic Declaration:** The Bangkok Declaration, signed on 8 August 1967. **[1 Mark]**